1) Which among the following markets has only one seller for a particular goods/services?

a. Monopsony
b. Monopoly
c. Monopolistic competition
d. Oligopoly

2) Natural monopoly is a single firm that can produce entire market output at a lower cost than could several firms.

a. True
b. False

3) A monopoly firm may face ……demand curve.

a. Horizontal
b. Verticle
c. Positively sloping
d. Negatively sloping

4) Which of the following is not the characteristic of monopoly market?

a. Single seller
b. High barrier to entry
c. Availability of close substitutes
d. Price maker

5) If vaccine manufacturing industry is monopoly and suppose there is increase in the manufacturing of vaccine, which of the following may happen in the market of vaccines?

a. decrease in price of vaccine and there is no change in number of vaccine sold.
b. decrease in price of vaccines
c. increase in price of vaccines and there is no change in number of vaccines sold.
d. increase in price of vacines and there is decrease in number of vaccines sold.

6) A monopoly firm maximizes its profit by producing an output of Q=75. At that level of output its marginal revenue is Rs.85, its average revenue is Rs.111 and its average total cost is Rs.65. The firm's profit maximization price is

a. Rs.65
b. Rs.111
c. Rs.85
d. Between Rs.85 to Rs. 111.

7) A monopolist can sell 150 units of output for Rs.35 per unit. Alternatively, it can sell 151 units of output for Rs.34.90 per unit. What is marginal revenue of 151st unit of the output?

a. Rs. 19.9
b. Rs. 18.8
c. Rs.35
d. Rs.34.9

8) Suppose when a monopolist produces 50 units with its average revenue is Rs.8 per unit, its marginal revenue is Rs.5 per unit, its marginal cost is Rs.5 per unit and its average total cost is Rs. 4 per unit. The monopolist is currently maximizing the profit and its total profit is 300.

a. True
b. False

9) In perfect price discrimination, which of the following is not correct?

a. Monopolist captures all consumer surplus as profit.
b. There is no dead weight loss.
c. Monopolist charges same price to all buyers.
d. Monopoly firm charges each buyer to their willingness to pay (WTP).

10) A reduction in monopolist's fixed cost would not have have any effect on profit maximizing price or quantity.

a. True
b. False